> quirements on stocks whatsoever. "Look-back" options are making a debut. S&Ls are leaping into the stock brokerage business, sending flyers to little old ladies. And New York City banks are already constructing kiosks for quote machines so that depositors can stop off at lunch and punch out their favorite stocks. Options exchanges are creating new and specialized speculative instruments — guess the CPI and win a bundle! In other words, the financial arena is becoming the *place to be*. And, as if by magic, the media are geometrically increasing coverage of financial news. Financial News Network is now broadcasting 12 hours a day, bringing up-to-the-minute quotations on stocks and commodities via satellite and cable into millions of homes.

At the same time, services that rate analysts and fund managers came into being, and the mutual fund industry began its greatest expansion in history. Not only did these market-oriented factors develop, but economic conditions improved as well. Interest rates declined, inflation receded, employment grew, unemployment fell, production expanded, and a business-friendly president was elected for two straight terms. In essence, if not in specifics, those conditions were forecasted years ahead of time by the simple prediction that wave V in stocks was due to take place. The projected size of the bull market, moreover, assured their continuation for a number of years. For instance, deep concern about the precariousness of financial institutions still characterized the investment environment in 1983-1984, but as *The Elliott Wave Theorist* said then, "we'll worry about the banks after [the top]."

The stock market pattern was the crucial tool in forecasting the great bull market, but the pattern in gold (see Chapter 17) was additionally helpful in countering the arguments for hyperinflation and economic collapse that were so frequently voiced in the early 1980s. This excerpt from the March 7, 1983 issue was entitled, "What the Technical Outlook Means For the Fundamentals":

> The [Elliott Wave] outlook for gold says that the gold bugs are wrong on two counts: (1) that inflation will heat up again immediately to new high levels, and (2) that the big banks are on the verge of collapse due to the difficulties of the oil-producing nations. The Kondratieff cycle is bigger than either of these arguments, and still calls for *mild deflation with no economic disaster* during the plateau period. It appears that the supply-siders will be vindicated, at least for a while, as a surge in economic